

MAINS MASTER PROGRAM (MMP) 2024

ECONOMY-2;

PLANNING AND RELATED ISSUES;

ISSUES RELATED TO GROWTH AND

DVELOPMENT

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2. PLANNING

- It can be defined as consciously directed activity with predetermined goals and predetermined means to carry them out
- Thus there are two basic elements of Planning
 - o Goals - (Targets which need to be achieved)
 - o Means - (Policies and Instruments to achieve those targets)
- Policies describe the outlines of action for the fulfilment of plan goals
- Instruments may be defined as the quantitatively and qualitatively **means of action** by which it is intended to achieve the plan goals. Eg - taxes, subsidies, wages, interest rates
- Economic planning involves allocation of scarce resources to achieve socio-economic goals

Objectives of Planning

The objectives of Planning are

- Promoting Economic Growth
- Self-reliance & Self Sufficiency (eg - food scarcity, poor industrial base)
- Reduction of Unemployment (eg - high illiteracy; skill deficit)
- Social Justice - (Elimination of poverty, reduction in income inequalities etc)
- Modernization
- Inclusiveness and sustainability of economic growth

Why India adopted Planning

1. **Scarce resources**
 - a. Physical Resource; Financial resource; Human resource - were scarce
2. **Poor Infrastructure**
 - a. Infrastructure Deficit - transport, power, irrigation etc
3. **Poor Socio economic indicators**
 - a. High Illiteracy, poverty, inequality etc.
4. **Colonial exploitation**
 - a. Public perception against capitalism
5. **Nascent Private Sector**
 - a. Less financial ability and low technology capability to carry out large projects

What are various causes of Policy Failure (Govt Failure)

1. Political Self Interest
 - a. Eg - boosting level of welfare spending in the run upto election.
 - b. Mis-allocation of scarce resource - eg decision about where to build new roads, railways, ports guided by self interest
2. Policy Myopia
 - a. Ad-hoc approach; quick fixes; band-aid measures
 - b. government policy interventions seek to address short-term issues rather than longer-term solutions

- c. eg- 'farm loan waiver' to fix agrarian crisis
- 3. Regulatory Capture
 - a. Regulators can prevent the ability of markets to operate freely
- 4. Government Intervention
 - a. Economic Survey - Government intervention, sometimes though well-intended, often ends up undermining the ability of the markets to support wealth creation and leads to outcomes opposite to those intended.
 - b. Eg -
 - i. Essential Commodities Act, 1955 may lead to price volatility, market distortion
 - ii. The Food Corporation of India (FCI) under the Food Corporations Act, 1964 (govt intervention in grain Markets) - may lead to crowding out private sector as government acts as monopsonist (single buyer); leads to price distortion
- 5. Crony Capitalism
 - a. Nexus between business and political class
 - b. Eg - increase in NPA
- 6. Policy Paralysis (Bureaucratic caution)
 - a. 4C's - Courts, CVC, CBI, CAG
- 7. Implementation failure

3. A BRIEF HISTORY OF PLANNING IN INDIA

India followed a policy of import substitution with state-led development in its first four decades of development from 1950-1990. But then starting in 1991, India changed course and opened considerably to the world allowing the private sector to play a much bigger role in the economy. It also shifted its approach to planning from more 'directed planning' to 'indicative planning' and finally since 2018 to no overt planning (strategy but no planning).

- From 1950 to 2017, the concept of planning was carried through the Five-Year Plans, developed, executed, and monitored by the Planning Commission (1951-2014) and the NITI Aayog (2015-2017).
- Between 1950-65, India shifted to state-led industrialisation, import substitution, and directed planning including industrial licensing. As a result, India's economy grew slowly at around 3-4% GDP growth and poverty increased.
- From 1965 onwards the focus was on agriculture as food shortages dominated.
- From 1970 onwards more populist policies were introduced under the slogan "Garibi Hatao" when banks were nationalised.
- India's economy started to do better since 1980 when there was some internal liberalisation.
- But the more sustained jump in economic growth came from the 1991 reforms when India started opening the economy to the rest of the world and did away with industrial licensing in many sectors which allowed the private sector to invest and grow.
- In line with economic policy India also changed its approach to planning.

- The 8th Five-Year plan (1992-97) clearly recognised this change when it stated - *"In line with the changed circumstances, we have redefined the role of the Planning Commission. From a highly centralized planning system, we are gradually moving towards indicative planning."*
- This shift was cemented further in the Ninth Five-Year Plan which was put together under Prime Minister Atal Bihari Vajpayee of the BJP. It stated - *"The Eighth Five-Year Plan had explicitly indicated a shift from directive to largely indicative plan..... The planning process today, therefore, focuses on planning for policy so that the signals that are sent to the economic system induce the various economic agents to behave in a manner which is consistent with the national objectives."*
- As India's growth accelerated and inequalities widened, the Eleventh Five-Year Plan 2007-2012, shifted its focus to more inclusive growth. It focused on 'Faster and more Inclusive growth'
- Twelfth Five-Year Plan focused on 'Faster, Sustainable & More Inclusive Growth'

Five Year Plans	Objectives
First FYP Plan (1951 - 56)	It was based on Harrod-Domar Model. Influx of refugees, severe food shortage & mounting inflation confronted the country at the onset of the first five year Plan. The Plan Focussed on agriculture, price stability, power and transport It was a successful plan primarily because of good harvests in the last two years of the plan. Objectives of rehabilitation of refugees, food self-sufficiency & control of prices were more or less achieved.
Second FYP Plan (1956 - 61)	Mahalanobis Plan - the strategy of resource allocation to broad sectors as agriculture & Industry was based on two & four sector Model prepared by Prof. P C Mahalanobis Second plan was conceived in an atmosphere of economic stability . It was felt agriculture could be accorded lower priority. The Plan Focussed on rapid industrialization- heavy & basic industries . Advocated huge imports through foreign loans. The Industrial Policy 1956 was based on the establishment of a socialistic pattern of society as the goal of economic policy. Acute shortage of forex led to pruning of development targets , price rise was also seen (about 30%) vis a vis decline in the earlier Plan & the 2nd FYP was only moderately successful.
Third FYP Plan (1961 - 66)	At its conception, it was felt that Indian economy has entered a "takeoff stage". Therefore, its aim was to make India a 'self-reliant' and

	'self-generating' economy. Based on the experience of first two plans (agricultural production was seen as limiting factor in India's economic development) , agriculture was given top priority to support the exports and industry. The Plan was thorough failure in reaching the targets due to unforeseen events - Chinese aggression (1962), Indo-Pak war (1965), severe drought 1965-66. Due to conflicts the approach during the later phase was shifted from development to defence & development.
Three Annual Plans (1966-69) (Plan holiday)	Failure of Third Plan that of the devaluation of rupee(to boost exports) along with inflationary recession led to postponement of Fourth FYP. Three Annual Plans were introduced instead. Prevailing crisis in agriculture and serious food shortage necessitated the emphasis on agriculture during the Annual Plans. During these plans a whole new agricultural strategy was implemented. It involving wide-spread distribution of high-yielding varieties of seeds, extensive use of fertilizers, exploitation of irrigation potential and soil conservation. During the Annual Plans, the economy absorbed the shocks generated during the Third Plan It paved the path for the planned growth ahead.
Fourth Annual Plan (1969 - 74)	Refusal of supply of essential equipments and raw materials from the allies during Indo Pak war resulted in twin objectives of " growth with stability " and "progressive achievement of self reliance " for the Fourth Plan. Main emphasis was on growth rate of agriculture to enable other sectors to move forward . First two years of the plan saw record production. The last three years did not measure up due to poor monsoon. Implementation of Family Planning Programmes were amongst major targets of the Plan. Influx of Bangladeshi refugees before and after 1971 Indo-Pak war was an important issue along with price situation deteriorating to crisis proportions and the plan is considered as big failure.

Fifth Plan (1974-79)	The final Draft of fifth plan was prepared and launched by D.P. Dhar in the backdrop of economic crisis arising out of run-away inflation fuelled by hike in oil prices and failure of the Govt. takeover of the wholesale trade in wheat. It proposed to achieve two main objectives: 'removal of poverty' (Garibi Hatao) and 'attainment of self reliance' Promotion of high rate of growth, better distribution of income and significant growth in the domestic rate of savings were seen as key instruments Due to high inflation, cost calculations for the Plan proved to be completely wrong and the original public sector outlay had to be revised upwards. After promulgation of emergency in 1975, the emphasis shifted to the implementation of Prime Ministers 20 Point Programme. FYP was relegated to the background and when Janta Party came to power in 1978, the Plan was terminated.
Rolling Plan (1978 - 80)	There were 2 Sixth Plans. Janta Govt. put forward a plan for 1978- 1983 emphasising on employment, in contrast to Nehru Model which the Govt criticised for concentration of power, widening inequality & for mounting poverty . However, the government lasted for only 2 years. Congress Govt. returned to power in 1980 and launched a different plan aimed at directly attacking on the problem of poverty by creating conditions of an expanding economy.
Sixth Plan (1980 - 85)	The Plan focussed on Increase in national income, modernization of technology, ensuring continuous decrease in poverty and unemployment through schemes for transferring skills (TRYSEM) and seats (IRDP) and providing slack season employment (NREP), controlling population explosion etc. Broadly , the sixth Plan could be taken as a success as most of the target were realised even though during the last year (1984-85) many parts of the country faced severe famine conditions and agricultural output was less than the record output of previous year.
Seventh Plan (1985 - 90)	The Plan aimed at accelerating food grain production, increasing employment opportunities & raising productivity with focus on 'food, work & productivity'. The plan was very successful as the economy recorded 6% growth rate against the targeted 5% with the decade of 80's struggling out of the 'Hindu Rate of Growth'.
Eighth Plan (1992 - 97)	The eighth plan was postponed by two years because of political uncertainty at the Centre Worsening Balance of Payment position, rising debt burden widening budget deficits, recession in industry and inflation were the key issues during the launch of the plan.

	The plan undertook drastic policy measures to combat the bad economic situation and to undertake an annual average growth of 5.6% through introduction of fiscal & economic reforms including liberalisation under the Prime Minister ship of Shri P V Narasimha Rao. Some of the main economic outcomes during eighth plan period were rapid economic growth (highest annual growth rate so far – 6.8 %), high growth of agriculture and allied sector, and manufacturing sector, growth in exports and imports, improvement in trade and current account deficit. High growth rate was achieved even though the share of public sector in total investment had declined considerably to about 34 %.
Ninth Plan (1997- 2002)	The Plan prepared under United Front Government focussed on “Growth With Social Justice & Equality “ Ninth Plan aimed to depend predominantly on the private sector – Indian as well as foreign (FDI) & State was envisaged to increasingly play the role of facilitator & increasingly involve itself with social sector viz education, health etc and infrastructure where private sector participation was likely to be limited. It assigned priority to agriculture & rural development with a view to generate adequate productive employment and eradicate poverty
Tenth Plan (2002 - 2007)	Recognising that economic growth cant be the only objective of national plan, Tenth Plan had set ‘monitorable targets’ for few key indicators (11) of development besides 8 % growth target. The targets included reduction in gender gaps in literacy and wage rate, reduction in Infant & maternal mortality rates, improvement in literacy, access to potable drinking water cleaning of major polluted rivers, etc. Governance was considered as factor of development & agriculture was declared as prime moving force of the economy. States role in planning was to be increased with greater involvement of Panchayati Raj Institutions. State wise break up of targets for growth and social development sought to achieve balanced development of all states.
Eleventh Plan (2007 - 2012)	Eleventh Plan was aimed “Towards Faster & More Inclusive Growth “after UPA rode back to power on the plank of helping Aam Aadmi (common man). India had emerged as one of the fastest growing economy by the end of the Tenth Plan. The savings and investment rates had increased , industrial sector had responded well to face competition in the global economy and foreign investors were keen to invest in India. But the growth was not perceived as sufficiently inclusive for many groups , specially SCs , STs & minorities as borne out by data on several dimensions like

	poverty, malnutrition, mortality, current daily employment etc . The broad vision for 11th Plan included several inter related components like rapid growth reducing poverty & creating employment opportunities , access to essential services in health & education, specially for the poor, extension if employment opportunities using National Rural Employment Guarantee Programme , environmental sustainability , reduction of gender inequality etc
Twelfth Plan (2012-17)	'Faster, Sustainable and More Inclusive Growth'; 25 Core Monitorable Targets.; GDP growth at 8% + Agriculture growth at 4% + Manufacturing growth at 10%.

4. WHAT WERE THE KEY PROBLEMS WITH THE PLANNING COMMISSION?

1. Concerns Regarding Federalism:

- The Planning Commission was a recommending body. However, it exceeded the scope of its authority by performing the role of a control commission
- This overreach was egregious due to the Planning Commission's influence on the allocation of funds to the State governments which directly impacts Centre-State relations.
- By assuming the crucial function of allocating resources to the States, the Planning Commission clearly came into conflict with the role of Finance Commission.
- The relationship between the PC and Finance Commission was never clarified. Thus, there was never any clarity at state level as to how much resources they would receive.
- Note → (With the establishment of a GST Council that has legislative authority there is now confusion between the role of this council and the Finance Commission. The NITI Aayog has no financial authority but does prepare a strategy – how this strategy gets implemented is not clear.)

2. Concerns of Accountability (Political Authorisation and Legitimacy):

- Planning Commission was setup by government decree. It reported directly to the PM, with no parliamentary oversight
- The Deputy Chairman of Planning Commission was not subject to Parliamentary oversight by means of questioning in Parliament. He is answerable to Parliament only indirectly through the offices of the Minister of State for Planning and Statistics. Since the Deputy Chairman holds Cabinet rank and outranks the Minister of State for Planning and Statistics, the latter cannot be expected to effectively supervise his actions.
- This lack of parliamentary oversight eventually came to be a major drawback to its functioning and its acceptability. The constitutionally established inter-state council was neglected and utilised only occasionally but was never involved in the planning process.
- Without a proper political authorisation – especially in a democratic set-up – the planning process loses legitimacy and implementation suffers.

- e. Note - 27 countries have planning processes embedded in their Constitutions which ensures continuity

3. Concerns Regarding Human Resources and Organisational Structure:

- a. The Planning Commission was criticised for becoming a monolithic bureaucracy no different from other Central ministries in the way it was administered.
- b. The staff of the PC and (even the NITI Aayog) do not report to the experts but to a Secretary with administrative experience but no domain knowledge. Without domain expertise their views and judgements lacked credibility and were resented by the rest of the governmental system
- c. The organisation has also been accused of becoming a 'parking lot' for officers from various ministries (IAS or IES officers) between assignments or who were in dis-favour at that time, who have neither the specialised domain level expertise nor the training to carry out long term economic planning.

4. Consultation Process:

- a. **Top - down approach** with minimal involvement of states and local bodies.
- b. Views of states (especially those ruled by parties other than the govt at centre), line Ministries were **disregarded**. It led to **resentment & resistance**.
- c. Healthy Consultative Process is vital

5. Prioritisation:

- a. India's failure on key issues like education, health, sanitation could also be laid at the priorities set by the PC. For example, on education Sudarshan (2020) argues that the shift to promote heavy industry in the early stages of planning – led to placing greater emphasis on higher and technical education and to somewhat greater neglect of elementary education. In subsequent phases of Indian planning, the shift to private education especially after 1990 for secondary and tertiary education was also influenced by thinking in the PC. A major outcome of this approach was greater inequalities in India's education system as reflected even today in the UNDP's inequality adjusted HDI, where loss due to educational inequality is significant.
- b. In the initial years of planning the PC placed heavy emphasis was on industrialisation – but not in labour -intensive basic industry which could have provided lots of employment and helped move people out of agriculture. As a result, India's structural transformation has been hugely distorted, with a very large share of its labour force remaining in agriculture. Between 1950-51 and 2010-11, agriculture share in income fell from 51.8% to 18.21 % but its share in the labour force fell from 68.85% to 54.59% and as late as 2019-20 was still over 40% and beginning to rise again. And despite all the efforts to industrialise in fact the opposite happened. India has had what could be called "premature industrialisation".
- c. There are many factors responsible for this from complex labour laws to problems in land acquisition and access to capital, which have raised costs to industry and are spelt out in

greater detail in Chhibber (2021). In addition, as argued by Mehrotra (2020), India reduced its tariffs very substantially since 1991 but along with its Free Trade Agreements led to the creation of Inverted Duty Structure (IDS) in many key manufacturing sectors, which have hurt its competitiveness and forced India to reverse course and increase tariffs. This shows that India did not have a central policy coordination system which many East Asian countries developed – such as MITI in Japan and the National Development and Reform Commission in China.

6. Perspective Planning

- a. Over the last 70 years perspective planning has also been tried and emphasised somewhat inconsistently by the PC. Long-term thinking on water, energy, land use has been attempted but without consistency as the focus was always on the Five-year plan. This will become more important as climate change looms heavily on India's future economic and social outcomes. But even the NITI Aayog has failed, so far, to address these longer-term perspectives.

7. Shift from Input-Output Models to Behavioural and Pathway Models.

- a. In a market-oriented economy, the role of planning changes from directed to indicative planning
- b. Under indicative planning, the PC (or relevant planning institution) must be capable of understanding the responses and reactions to various policy changes. In India the PC continued with traditional input-output models which had lost their relevance after India liberalised in 1991. These models were unable to anticipate how the private sector would react to policies. System wide interlinkages were also not properly understood, as there was no capacity to understand them. In a market-oriented economy – the planning body – must have the analytical capacity to understand the complete and complex relationships between policies and programs. Such capacity was never developed in the PC and surprisingly does not even exist in the NITI Aayog which was set up as a think-tank. This becomes even more important in view of the need for planning under uncertainty due to climate change.

8. Development Finance Assessment.

- a. The financing plan must be realistic and if underlying realities change, the plan must be revised in an appropriate manner. In India's case the plan's financing needs were not realistic and adjustments were not made if unforeseen expenditures emerged. Also, persistent cost over-runs, which improved somewhat over time – but nevertheless have persisted have put huge strains on the financing plans and resulting outcomes. Breaking large and long-term projects into more manageable bits is one possible solution. The new PPP models also had insufficient consideration of the government's contingent liabilities. Sometimes ad hoc pricing policies led to reduction in SOE investments. This led to excessive market borrowing, which then increased interest rates and reduced access to credit for the private sector.

9. Cooperative Devolution and Convergence:

- a. Rising regional and inter-state imbalances that have developed since India shifted to a market economy have not been easy to address and have increased.

- b. An NIPFP study for NITI Aayog, has shown that while Finance Commission allocations are equalising, the transfers from the Planning Commission through general purpose and special CSS were in fact un-equalising (2015).

5. NITI AAYOG (JAN 1ST, 2015)

- Replaced Planning Commission
- NITI Aayog was formed via a resolution of the Union Cabinet on 1 January 2015. It is the premier policy think tank of the Government of India, providing directional and policy inputs. Apart from designing long-term policies and programmes for the Government of India, NITI Aayog also provides relevant strategic and technical advice to the Centre, States, and Union Territories. NITI Aayog acts as the quintessential platform for the Government of India to bring States to act together in national interest and thereby foster cooperative federalism.
- Objective → Cooperative federalism (Shared vision of centre and states); Decentralised Planning; National security in economic policy; Design Short, Intermediate, long-term policies (3/7/15 year documents); Act as Think Tank; Inter departmental coordination; Technology upgradation and capacity building.
- Composition → Chairman - PM; Vice Chairman - Appointed by PM; Governing Council - CM and Lt. Governor; Adhoc Membership - 2 members from Research institutions; CEO - Secretary level officer (IAS); Special invitees- Domain Level Experts
- NITI Aayog's activities can be divided into four main heads:
 - Policy and Programme Framework
 - Cooperative and competitive Federalism
 - Monitoring and Evaluation
 - Think Tank, and Knowledge and Innovation Hub

Comparison - Planning Commission Vs Niti Aayog

Planning Commission	NITI Aayog
States subordinate to centre	Cooperative Federalism (states are equal partners)
'Top-Down' approach	'Bottom-Up' approach to Planning
Power of Allocation of Finance - Yes	Power of Allocation of Finance - No
Rigid Bureaucratic Body	Role of Think Tank; System reform Commission
Five Year Plan	3 Year Action Agenda; 7 Year Strategy Document; 15 Year Vision Document

Initiatives of NITI Aayog

- **Sustainable Action for Transforming Human Capital (SATH):**
 - Aimed at Transformation in two key social sectors - education & health, by handholding states
- **Ek Bharat Shrestha Bharat:**
 - Conceptualized to make our country united, strong and promote excellence in all walks of life by means of long-term inter-state engagements through cultural exchanges and education.
- **Aspirational Districts Program:**
 - Special initiative to rapidly transform 115 identified districts that have shown relatively lesser progress in key social areas and have emerged as pockets of under-development, thereby posing a challenge to ensure balanced regional development.
- **Aspirational Blocks Programme**
 - aim to fast track holistic and sustainable development in 500 backward Blocks.
- **SAMAVESH'**
 - a major initiative aimed at networking and partnership with knowledge and research institutions using a hub and spoke model was launched.
- **Atal Innovation Mission:**
 - Promote innovation and entrepreneurship in the country.
- **Important Indices:**
 - NITI Aayog has developed the 'Healthy States, Progressive India' Report also known as the 'Health Index' in February 2018. The Composite Water Management Index was also launched in June 2018. The 'School Education Quality Index (SEQI)', 'SDG India Index' and the 'Digital Transformation Index' (DTI) are other important initiatives of NITI Aayog.
- NITI Aayog in consultation with several associated ministries and departments had anchored the introduction of a Production Linked Incentive (PLI) Scheme in key sectors for a period of five years

Criticism of NITI Aayog

1. NITI Aayog has no role in influencing private or public investment.
2. Niti Aayog is referred to by critics as "old wine in a new bottle." Its duties don't offer a fresh take on development; rather, they show continuity with the planning commission.
3. States have expressed dissatisfaction that their issues are not being considered. For instance, in governing council sessions, CMs sometimes do not have enough time to speak.
4. Because it is a government think tank, its independence as a body for formulating policy is questioned.
5. Niti Aayog has not been able to stop the economy's long-term downturn. For instance, GFCF has consistently decreased since reaching a high of 36% in 2010.
6. Effectiveness of Niti Aayog's initiatives and their impact on the ground have been limited -

- a. For example, the Swachh Bharat Abhiyan, while successful in improving sanitation in some areas, has not been able to achieve its goal of making India open defecation free. Similarly, the Atal Innovation Mission, while promoting innovation, has not yet produced many successful startups
7. It lacks the technical expertise and research capabilities to effectively guide policy decisions.

Critics have pointed out that the think tank often relies on outside consultants and private sector partners, which could lead to conflicts of interest. This has raised concerns about the think tank's ability to provide independent and objective policy advice.

1) PYQS

Q.1) Among several factors for India's potential growth, saving rate is the most effective one. Do you agree? What are the other factors available for growth potential? (2017)

Q.2) Do you agree with the view that steady GDP growth rate and low inflation have left the Indian economy in good shape? Give reasons in support of your arguments. (2019)

Q.3) Define potential GDP and explain its determinants. What are the factors that have been inhibiting India from realising its potential GDP? (2020)

Q.4) Explain the difference between computing methodology of India's Gross Domestic Product (GDP) before the year 2015 and after the year 2015 (2021)

Q.5) Do you agree that Indian economy has recently experienced V shaped recovery? Give reasons in support of your answers (2021)

Q.6) Distinguish between 'care economy' and 'monetized economy'. How can care economy be brought into monetized economy through women empowerment? (2023)

2) GROSS DOMESTIC PRODUCT (GDP)

- It is the total market value of all final goods and services produced within the domestic territory of the country for a given period, generally a financial year.

What were the changes made in GDP calculation in 2015

- **Change in Base Year** → 2011-12 (earlier 2004-05)
- **Headline growth rate** → It will now be measured by GDP at constant market prices. Earlier, growth was measured in terms of growth rate in GDP at factor cost at constant prices.
- **GVA at Basic Price** → Sector-wise estimates of gross value added (GVA) will now be given at basic prices instead of factor cost.
- The relationship between GVA at factor cost, GVA, at basic prices, and GDP (at market prices) is given below:
 - $\text{GVA at basic price} = \text{GVA at factor cost} + [\text{production taxes} - \text{production subsidies}]$
 - $\text{GDP} = \sum \text{GVA at basic prices} + [\text{product taxes} - \text{product subsidies}]$
 - Production taxes or production subsidies are paid or received with relation to production and are independent of the volume of actual production. Some examples of production taxes are land revenues, stamps and registration fees and tax on profession. Some production subsidies are subsidies to Railways, input subsidies to farmers, subsidies to village and small industries, administrative subsidies to corporations or cooperatives, etc.

- Product taxes or subsidies are paid or received on per unit of product. Some examples of product taxes are excise tax, sales tax, service tax and import and export duties. Product subsidies include food, petroleum and fertilizer subsidies, interest subsidies given to farmers, households, etc. through banks, and subsidies for providing insurance to households at lower rates).
- **Improvements in coverage**
 - **Corporate Sector** – In the 2004-05 series, the Private Corporate Sector was being covered using the RBI Study on Company Finances, wherein estimates were compiled on the basis of financial results of around 2500 companies. In the new series, comprehensive coverage of Corporate Sector has been ensured in mining, manufacturing and services by incorporation of annual accounts of companies as filed with the Ministry of Corporate Affairs (MCA) under their e-governance initiative, MCA21.
 - **Financial Corporations**- Financial corporations in the private sector, other than banking and insurance, in the earlier series was limited to a few mutual funds and estimates for the Non-Government Non-Banking Finance Companies as compiled by RBI. In the new series, the coverage of financial sector has been expanded by including stock brokers, stock exchanges, asset management companies, mutual funds and pension funds, as well as the regulatory bodies, SEBI, PFRDA and IRDA.
 - **Local bodies and autonomous institutions** – Earlier, estimates for local bodies and autonomous institutions were prepared on the basis of information received for seven autonomous institutions and local bodies of four States – Delhi, Himachal Pradesh, Meghalaya and Uttar Pradesh. In the new series, there has been an improved coverage of local bodies and autonomous institutions, covering around 60% of the grants/transfers provided to these institutions.

GVA

- In the previous method, the index of industrial production (IIP) or factory output was the main measure to calculate manufacturing and trading activity. The limitation was that this only counted volume and did not give an idea about value. For instance, in the old method, the number of motorcycles produced in the plant was counted, as opposed to the motorcycles' value that the plant rolled out.
- The problem was, it only counted the number of units produced and did not distinguish, between, say the value of a luxury car and an entry-level hatch-back. It is possible that factory output would have remained stagnant over a period of time, but its value would have multiplied.
- One can keep selling the same number of cars, but keep improving the quality so the value goes up. An even better example than cars is computers. A purely output-based method would not be able to capture the innovations and the value additions in such products and industrial activity.
-
- The new method adopts a gross value added (GVA)-based approach as compared to a predominantly volume-based calculation previously.

- GVA, which is GDP minus taxes, serves as a more realistic proxy to measure changes in the aggregate value of goods and services produced in the economy.
- The GVA method also factors in value addition and economic action carried out by activities such as marketing. Such activity can be of a very high value in case of large FMCG companies.

Gross Value Added (GVA)

- It is defined as the value of output minus value of intermediate consumption.
- $GVA = \text{Value of Output} - \text{Value of intermediate consumption}$.
- For example - it gives the rupee value of goods and services produced in the economy after deducting the cost of inputs and raw materials used in the production of those goods and services.
- It is a measure of the contribution to GDP made by an individual producer, industry or sector
- It is the value generated by a producer of goods and services.
- It represents the supply side of the economy.
- The National Statistical Office (NSO) provides data on GVA on both quarterly and annual basis.
- The sectoral classification provides data on eight broad categories that span the gamut of goods produced and services provided in the economy. These are:
 - Agriculture, Forestry and Fishing;
 - Mining and Quarrying;
 - Manufacturing;
 - Electricity, Gas, Water Supply and other Utility Services;
 - Construction;
 - Trade, Hotels, Transport, Communication and Services related to Broadcasting;
 - Financial, Real Estate and Professional Services;
 - Public Administration, Defence and other Services.

Statement 9A: Estimates of GVA at Basic Prices for April-December, 2023-24 (at 2011-12 Prices)
(₹ Crore)

Industry	APRIL-DECEMBER				
	2021-22	2022-23	2023-24	Percentage Change Over Previous Year	
				2022-23	2023-24
1. Agriculture, Livestock, Forestry & Fishing	15,87,277	16,44,915	16,63,861	3.6	1.2
2. Mining & Quarrying	2,15,569	2,18,861	2,37,261	1.5	8.4
3. Manufacturing	18,60,009	17,97,000	19,81,680	-3.4	10.3
4. Electricity, Gas, Water Supply & Other Utility Services	2,37,663	2,61,811	2,81,389	10.2	7.5
5. Construction	8,33,713	9,19,777	10,15,389	10.3	10.4
6. Trade, Hotels, Transport, Communication & Services related to Broadcasting	17,31,374	19,76,482	21,11,442	14.2	6.8
7. Financial, Real Estate & Professional Services	24,05,720	26,22,543	28,49,041	9.0	8.6
8. Public Administration, Defence & Other Services*	12,57,401	13,89,375	14,97,679	10.5	7.8
GVA at Basic Prices	1,01,28,727	1,08,30,763	1,16,37,741	6.9	7.5
Net Taxes	7,64,549	8,56,939	10,10,451	12.1	17.9
GDP^a	1,08,93,276	1,16,87,702	1,26,48,192	7.3	8.2

* Public Administration, Defence & Other Services category includes the Other Services sector i.e. Education, Health, Recreation, and other personal services

Significance of GVA:

- **Sectoral Performance** → The GVA data is crucial to understand how the various sectors of the real economy are performing. It provides a more precise measure of the value added by each sector of the economy.
 - Helpful in making cross sector comparisons
 - It can be used by policy makers to support or regulate various sectors. (eg - providing policy support to underperforming sectors whenever needed. Helpful in spotting potential sector poised for growth in future)
- **Productivity** → It is a helpful indicator of productivity of a sector as it captures the contribution of each sector of the economy to the creation of economic value
- **International Comparisons** → Since GVA is global best practices in national income accounting, it is helpful in comparing productivity and economic performance across countries

Limitations of GVA:

- GVA calculations are based on the valuation of output, which can be subjective. In some situations, determining the appropriate valuation of commodities and services generated by a sector may be difficult.
- The accuracy of GVA is heavily dependent on the sourcing of data and the accuracy of the various data sources.

3) GDP VS GVA

- **GDP (Market Price) = GVA (basic Price) + [Product Taxes - Product Subsidies]**
- GVA specifically focuses on the value added by each sector of the economy. GDP measures the total value of goods and services produced within a country's borders
- While the GDP calculates national income by adding up all expenditures in the economy, the GVA calculates the national income from the supply side by looking at the value added in each sector of the economy.
 - GVA provides the supply side of the economy, whereas GDP captures the demand side of the economy.
- GVA is helpful in formulating sector specific policies. GDP is helpful in comparing economic performance and income across countries.
- While GDP is the internationally-accepted measure of overall economic growth in the country, GVA provides sector-wise details of economic activity from the production side.

Which is a better metric to gauge economic growth?

- Both GDP and GVA serve their own purpose in understanding the economic momentum in the country.
- While GDP is the official measure of economic growth in the country, GVA may prove to be a better metric under exceptional circumstances as in the case of the last two years (COVID-19 years)

- GVA is helpful to gauge output of specific sectors.

4) WHAT ARE THE MAJOR CONCERNS RELATED TO INDIA'S GDP IN THE RECENT TIME

The followings are the major concerns with India's GDP which have been in the news in the recent time

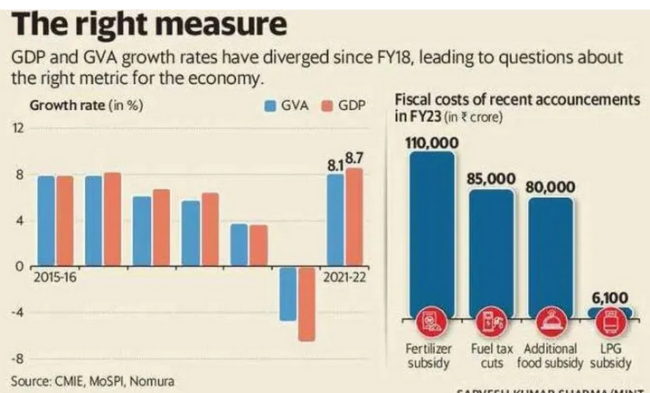
1. Issue of the Divergence between GDP & GVA
2. Issue of GDP deflator to deflate nominal GDP to get real GDP
3. Issue of the rising Discrepancies in Indian GDP data

Issue of Divergence between GDP & GVA

DIVERGING GDP AND GVA GROWTH RATES (IN %)

	2021-22				2022-23				2023-24		
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
GVA	21.3	10	5	4.3	11.3	5	4.8	6	8.2	7.7	6.5
GDP	22.6	9.9	5.5	4.5	12.8	5.5	4.3	6.2	8.2	8.1	8.4
Difference	1.3	-0.1	0.5	0.2	1.5	0.5	-0.5	0.2	0	0.4	1.9

- As per NSO estimate, GDP growth rate for (Q3) 2023-24 is 8.4% whereas GVA growth is 6.5%. Thus there was a large gap between GDP & GVA.
- This large divergence between GDP and GVA has led some economists to suspect that GDP may have been overstated.
- GVA gives a picture of the state of economic activity from the producers' side or supply side. The GDP gives the picture from the consumers' side or demand perspective.
- However, both measures need not match because of the difference in treatment of net taxes (Product taxes - Product subsidies)
- GDP (Market Price) = GVA (basic Price) + [Product Taxes - Product Subsidies]
- The sharp divergence in GDP and GVA rates for Q3 is on account of a sharp rise in net taxes and a fall in subsidies.
- The divergence between GDP & GVA may be attributed to
 - Higher growth rate in Product taxes
 - i. Growth in net indirect taxes was a six-quarter high of 32% in the third quarter of 2023-24. Before this, the growth was higher, at 37.6 per cent, in the first quarter of 2022-23, but that was due to the low base of the previous year.
 - Lower growth rate in Product subsidies
 - i. The huge difference in growth rates in the GDP and GVA in (Q3) 2023-24 is due to substantial fall in product subsidies. According to figures derived from the data released by the Controller General of Accounts (CGA), major subsidies — on food, fertilisers, and petroleum — at Rs 70,409 crore, fell 53.6 per cent during the third quarter of the current financial year over the Rs 1.52 trillion in the corresponding period of the previous year.
- Previous periods of divergence between GDP & GVA



- Between FY13 and FY17, the GDP growth always exceeded GVA growth rate, but never by more than 30 basis points.
- Between FY18 and FY19, the gap grew to 60-70 bps, thanks to strong tax collections post demonetisation, while subsidies fell on a year-on-year basis.
- In FY20, however, GDP growth came in lower than GVA for the first time, though only by 10 bps, as tax collections grew 3%, and subsidies rose by 18%.
- In FY21, GDP growth lagged GVA growth by 180 basis points on the account of higher subsidies (especially food subsidy) and lower tax collection (essentially due to lockdown)
- In FY22, GDP growth rate was 8.7% whereas GVA rose just 8.1%. It was mainly due to higher tax collection (28%) due to quick recovery in economic activity and subsidies, despite remaining elevated, fell by over a third due to the base effect.
- Overall, GDP tends to print higher than GVA as tax collections often remain bigger than subsidy payouts.

5) ISSUE OF GDP DEFLATOR WHILE CALCULATING REAL GDP

- **Context** - As per official data, nominal GDP for (Q3) 2023-24 was 10.1% whereas real GDP was 8.4%. It implied that that the deflator was 1.7%. It has made policymakers ask whether deflator was capturing the true picture of inflation in the country.
- GDP deflator in India is a weighted average of the inflation rates based on the wholesale price index (WPI) and consumer price index (CPI). The GDP deflator correlates more strongly with the WPI-based inflation (a correlation coefficient of 0.88) than with CPI-based inflation (a correlation coefficient of 0.39). In other words, WPI has a larger de facto weight in the GDP deflator than CPI.
- **Brief Background**
 - In the old GDP measurement methodology, the main indicator of GDP was GDP at Factor Cost. In the new methodology, main indicator of GDP is GDP at Market Price
 - GDP at Factor cost was calculated as summation of output in value terms of all economic activities related to agriculture, industry and services. GDP (FC) did not include any taxes. The addition of the net indirect taxes to GDP (FC) used to bring in the GDP (MP). The estimates of real GDP relied heavily on volume-based indices such as the index of industrial production. Real growth (for the most part) was calculated directly, and a deflator was then

applied to produce a nominal growth figure. Hence, problems in the deflator did not really matter for real growth rate.

- However, in the new GDP measurement methodology, we first calculate GDP (MP) which is then deflated by price indices to derive the real GDP numbers. The deflator has therefore become crucial. If the deflator underestimates actual inflation, then real growth will be overstated and vice versa.

– **Main concerns with India's Deflator**

- In India, the NSO uses WPI (a large part) to calculate GDP deflator. However, the International standard is to use the Producer Price Index (PPI) (India does not have PPI).
 - WPI does not measure price of services
 - WPI does not track producer prices very well. It is heavily skewed towards commodities such as oil and steel which are essential inputs in commodity importing countries like India.
 - This skew in the composition of WPI means that whenever commodity prices fall steeply, the WPI will decline, even if producer prices are still rising. This has been a major issue recently. Since September 2022, consumer price index (CPI) inflation has been above 5 per cent, as producers kept increasing prices, but WPI inflation has steadily declined, because global commodity prices have fallen. During April-December, 2023, WPI inflation averaged -1.0 per cent.
 - Most G20 countries calculate real gross value added (GVA) in the manufacturing sector using a methodology known as double deflation (deflating output by output prices and inputs by input prices). In this method, nominal outputs are deflated using an output deflator, while inputs are deflated using a separate input deflator. Then the real inputs are subtracted from real outputs to derive real GVA. India, by contrast, deflates nominal numbers using a single deflator. The concern is that if input prices diverge from output prices, single deflation can misstate growth by a big margin.
 - There are two methodologies for deflating the current price GVA (gross value added) numbers to their constant price equivalents: single deflation and double deflation. While the single deflation method argues for one-time series proxy deflator for both input and output at the current price, the double deflation method involves using a different deflator for output and input, for obtaining values of output and GVA at constant prices.
 - Consider what has been happening recently. When the price of inputs falls and price of output increases, profits increase and nominal value added goes up (it helps to think of GVA as profits, which go up when input prices fall). Since real GDP is supposed to be measured at “constant prices”, this increase needs to be deflated away. Double deflation will do this easily. But single deflation using an input price index like WPI will amplify the nominal increase. So, if the nominal increase in GVA is 10 per cent as the result of rising profits,

while WPI falls by 1 per cent, the real increase will be calculated as 11 per cent, even if real output has not changed at all.

- The CSO has been using a mix of the two methods. For sectors other than agriculture, and mining and quarrying, it has been using the single deflation method. This approach is debatable since the eight key components of GVA and their sub-components are not treated in a similar fashion, preventing the comparison of progress across sectors. Using a different method for each sector is prone to bias, thus affecting the ultimate numbers. Ideally the deflation of current price numbers must be done using one of the two methods, treating all the sectors in a like way. This essentially means that one should use only one method across the sectors and sub-sectors to be able to compare the trends across sectors.
- It is argued that one should use a deflator approximated by the CPI as a deflator for output, and WPI for input values.

6) ISSUE OF THE RISING DISCREPANCIES IN INDIAN GDP DATA

- Context - Experts have shown concern over high level of discrepancies in the national accounts data in the recent time
- **What is a Discrepancy in GDP data?**
 - India's GDP is calculated with two different methods – production method & expenditure method.
 - Discrepancies in the statistical GDP data refer to the difference in national income under production method and expenditure method.
 - A positive discrepancy number means the GDP arrived at from the production approach is more than the GDP arrived from expenditure approach.
 - When the discrepancy is negative, it means the GDP arrived at from the expenditure side is greater than that from the production side.

Statement 2: Quarterly Estimates of Expenditure Components of GDP for Q1 (April-June) 2023-24
(at 2011-12 Prices)

Expenditure Components [#]	(₹ Crore)				
	April-June (Q1)				
	2021-22	2022-23	2023-24	Share in GDP (%) [#]	
				2022-23	2023-24
1. Private Final Consumption Expenditure (PFCE)	1,822,102	2,182,357	2,312,601	58.3	57.3
2. Government Final Consumption Expenditure (GFCE)	403,808	411,243	408,300	11.0	10.1
3. Gross Fixed Capital Formation (GFCF)	1,077,836	1,297,588	1,400,832	34.7	34.7
4. Changes in Stocks (CIS)	28,895	31,050	32,256	0.8	0.8
5. Valuables	22,035	34,959	27,633	0.9	0.7
6. Exports	765,031	915,111	844,252	24.4	20.9
7. Imports	749,401	1,001,571	1,102,748	26.7	27.3
8. Discrepancies	-59,256	-126,452	114,019	-3.4	2.8
GDP	3,311,050	3,744,285	4,037,144	100.0	100.0
GDP (Percentage change over previous year)		13.1	7.8		

@ GDP (Production/Income Approach) = GVA at Basic Price + Net Taxes on Product

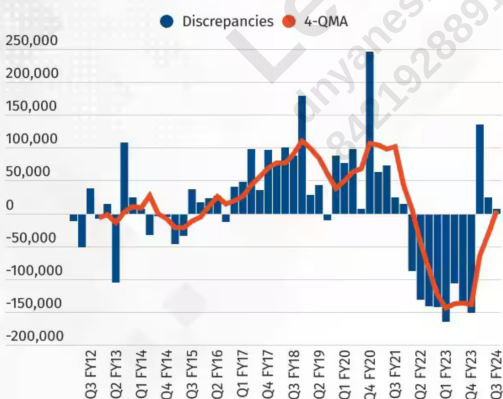
Following Expenditure Approach, GDP = PFCE + GFCE + GFCF + CIS + Valuable + Export - Import. Discrepancy refers to gap between GDP (Production/Income Approach) and GDP (Expenditure Approach)

Statement 1: Quarterly Estimates of GVA at Basic Prices for Q1 (April-June) 2023-24 (at 2011-12 Prices)

Industry	(₹ Crore)				
	April-June (Q1)				
	2021-22	2022-23	2023-24	Percentage Change Over Previous Year	
				2022-23	2023-24
1. Agriculture, Forestry & Fishing	484,982	496,547	513,946	2.4	3.5
2. Mining & Quarrying	75,606	82,809	87,587	9.5	5.8
3. Manufacturing	600,990	637,520	667,770	6.1	4.7
4. Electricity, Gas, Water Supply & Other Utility Services	78,422	90,134	92,704	14.9	2.9
5. Construction	238,390	276,648	298,393	16.0	7.9
6. Trade, Hotels, Transport, Communication & Services related to Broadcasting	473,100	594,803	649,560	25.7	9.2
7. Financial, Real Estate & Professional Services	812,166	881,599	989,293	8.5	12.2
8. Public Administration, Defence & Other Services*	362,621	439,780	474,678	21.3	7.9
GVA at Basic Prices	3,126,277	3,499,841	3,773,932	11.9	7.8
Net Taxes	184,773	244,445	263,212	32.3	7.7
GDP @	3,311,050	3,744,285	4,037,144	13.1	7.8

* Public Administration, Defence & Other Services category includes the Other Services sector i.e. Education, Health, Recreation, and other personal services

THE 'DISCREPANCY' IN GDP DATA



Note: Discrepancies in Rs crore; 4-QMA is four-quarter moving average
Source: Ministry of Statistics and Programme Implementation

Is a discrepancy good or bad?

- To be sure, the presence of a discrepancy does not discredit the GDP number or the growth rate.
- According to experts, there will always be some discrepancies in national accounts because of delay in reporting of information by various agencies including state governments.
- The discrepancy is a portion of the GDP that is not explained by one of the two approaches of calculating it. As such, it is noteworthy when a significant part of GDP growth is not accounted for. And in recent quarters, the unexplained has been rather large.
- The rising discrepancy number (large swings) in the recent time highlights data quality issues on the expenditure side
- A larger than normal discrepancy figure in a particular quarter may be a precursor to subsequent revisions in the growth of the expenditure components
- Over the course of the year, as more information on change in stocks is gathered through the Annual Survey of Industries data and more is known about PFCE and GFCF, these data points are revised and the level of discrepancy actually goes down.

Government response

- India consistently uses the income side approach for calculating GDP growth for various reasons. It does not switch between the two approaches depending on which one is favourable.
- India's real GDP growth was 7.8 percent (year on year) in Q1 FY24 (first Quarter of FY 2023-24). This is as per the Income or Production Approach. As per the expenditure approach, it would have been lower. So, a balancing figure – statistical discrepancy – is added to the expenditure approach estimate. These discrepancies are both positive and negative. Over time, they wash out. In fact, in FY23 and FY22, the 'statistical discrepancy' was negative. In other words, growth as per the income approach was lower. Using the expenditure approach, it would have been higher than the 7.2 percent reported for FY23 and higher than the 9.1 percent reported for FY22.